

Bharat Gears Ltd

Concall Tracker — is there a real earnings driver, and has management stuck to its word?

No earnings calls held — built from a global web deep-dive (annual reports, filings, news) · 03 Jul 2026 · BSE: 505688 / NSE: BHARATGEAR

Plain-word key: **Gears** = the toothed wheels that transfer engine power to the wheels. **OEM** = Original Equipment Manufacturer — the vehicle makers (tractor / truck companies) Bharat Gears supplies. **Heat-treatment furnace** = ovens that harden metal parts; Bharat Gears also sells these. **EV** = electric vehicle. **Operating margin (OPM)** = operating profit as a % of sales. **Debt-to-equity** = borrowed money compared with the owners' own money.

1 Snapshot — what this business is

Bharat Gears is **India's largest maker of automotive gears** — the toothed wheels and shafts that carry engine power inside tractors, trucks, utility and off-highway vehicles. It has run for 50+ years, has three plants, exports to Europe, the USA and Mexico, and also runs a smaller **heat-treatment furnace** business (ovens that harden metal). It is a small company on the stock market.

Number (year to March)	Value	What it means in plain words
Revenue FY26	₹784 cr	Total sales for the year, up a strong 21% from ₹648 cr — after two <i>falling</i> years (FY24 ₹663 cr, FY25 ₹648 cr).
Net profit FY26	₹16.5 cr	The bottom line swung from a ₹10 cr loss in FY24, to a thin ₹3 cr in FY25, to ₹16.5 cr now — a real recovery, but small in rupee terms.
Operating margin FY26	~7%	For every ₹100 of sales only about ₹7 is operating profit — still thin . The rebound came from more sales, not fatter margins.
Debt-to-equity FY26	~0.39	For every ₹1 of owners' money there is ₹0.39 of borrowed money — down sharply from ₹1.51 five years ago. A genuine debt clean-up.
Market value	~₹205 cr	The stock market's price tag on the whole company (share price ~₹133).
Promoter holding	55.3%	The founding family owns just over half — so their interests are largely aligned with other shareholders.

2 Coverage — no earnings calls, so a web deep-dive

NO CONCALL

Bharat Gears does not hold earnings concalls. There are no transcripts on Screener.in. This report is therefore built from a **global web deep-dive** — the company's own annual reports (which carry detailed chairman letters), stock-exchange results filings, and news coverage.

How rich is the public record? Moderately good for a small company: the last two annual reports are downloadable with full chairman commentary and five-year charts, and quarterly results are reported by news sites. **The thin spots** — there is no breakdown of sales by product (so exports, EV and furnace contributions can't be sized), no investor presentations, and no forward guidance. Forward visibility rests almost entirely on the once-a-year chairman letter.

Main sources used: Screener.in company page; Bharat Gears FY2023-24 and FY2024-25 Annual Reports (bharatgears.com); BSE Q4 FY26 results filing; Business Standard and MarketsMojo result analyses.

3 The earnings trigger — what will grow profit

HEADLINE

There is a real but modest driver — not a single blockbuster. The FY26 rebound was powered by **winning new orders from domestic tractor and construction-equipment makers** (to offset weak exports), plus a **steady debt clean-up** that lifted the bottom line. Both are proven in the numbers. The more exciting ideas — electric-vehicle gears, the furnace business, defence — are talked about but **not yet visible in the accounts**. Profit margins remain the weak point.

Driver	What the record says	Evidence so far	Horizon	Strength
Domestic tractor / off-highway OEM orders	"Aggressively securing new orders" from the tractor segment to offset weak exports	Delivered — FY26 sales +21%, highest-ever quarter (₹210 cr in Q4)	Now (but cyclical)	Moderate
Debt reduction	Cost cuts and deleveraging to "improve the bottom line"	Delivered — debt-to-equity 1.51 → 0.39; long-term debt down 34% in FY26, cutting interest cost	Largely done	Strong (but one-off)
Exports (EU / US / Mexico)	Market leader in tractor-gear exports	Actually <i>fell</i> in FY24 and FY25 on the Western downturn — a drag, not a help	Uncertain	Weak now
EV / hybrid / windmill / defence	"Gained traction in EV and windmill through new orders"; bevel-gear grinding for EVs	No disclosed revenue, order value or size — narrative only	Unclear	Unproven
Heat-treatment furnace division	Shifting from in-house use to outside sales	No separate revenue disclosed; small and opaque	Unclear	Unproven

4 Has management been consistent? — promised vs delivered

Judged from the chairman's letters and outlook statements across the last two-plus years (there are no calls to check against):

What was said	When	What actually happened	Verdict
Recovery coming, "backed by domestic and global orders" to drive topline growth	FY24 report	FY25 sales still fell; the recovery only arrived in FY26 (+21%) — right direction, a year late	Partly (late)
"Aggressively securing new orders from the domestic tractor segment"	FY24 & FY25	FY26 highest-ever revenue confirms the orders converted into sales	Delivered
Cost cuts and deleveraging to improve the bottom line "in subsequent periods"	FY24	Loss (FY24) → ₹3 cr (FY25) → ₹16.5 cr (FY26); debt genuinely cut	Delivered (with lag)
Entering EV, hybrid, windmill, defence; "gained traction through new orders"	FY24 & FY25	Still no numbers two years running — remains a story, not a line in the accounts	Unproven

Has the story drifted? No — it has been **notably steady**. The same chairman has told the same story both years: win domestic tractor orders, cut costs and debt, lead on gear technology, and keep an eye on new segments. Nothing was abandoned. The **tone shifted honestly from defensive to confident** — the FY24 letter openly explained a 13.5% sales drop and emergency cost cuts, while the FY25 letter spoke of "sustaining momentum" — and FY26's numbers backed the confident tone up. The one theme that has been **promised repeatedly without ever being sized** is the EV / new-segment diversification.

5 Bottom line

Durable earning trigger? → MAYBE

There **is** a real driver — FY26's 21% sales jump and profit recovery are genuine — but it leans on **cyclical tractor demand** and a **one-time debt clean-up** that can't repeat, while margins stayed thin (~7%). The parts that would make growth *durable* — EV gears, the furnace business, exports recovering — are still unproven or a drag. So: a real rebound, but not yet a proven structural growth engine.

Management consistent? → YES

Even without earnings calls to hold them to account, management told the **same story two years running and then delivered it** in FY26 — the tractor-orders, cost-cut and debt-reduction plan all played out. They were candid about the bad years rather than spinning them, and abandoned nothing. The only blemish is the EV/new-segment talk that keeps appearing without any numbers attached. On the whole, a credible, consistent management.

Because Bharat Gears holds no earnings calls, this consistency read is based on annual-report chairman letters versus reported results, not on quarterly call commentary. It is not investment advice. Do your own due diligence.